There are two other considerations. One is to be sure to consider owner earnings and not EBITDA or even the more pernicious adjusted EBITDA (owner earnings is defined as unadjusted reported earnings plus depreciation, amortization, and certain other noncash charges less average annual maintenance capex required to fully maintain its competitive position). The other is the need to look at the entire corporate capital structure. Companies that are overlevered can experience large changes in their equity valuations with only the slightest change to owner earnings. Investors who look at a stock without incorporating the complete capitalization picture can miss a key component, because equity values are contingent, while debt is forever.

## THE FINAL PRODUCT: WHAT MATTERS

Human beings constantly process complex information about the world and simplify it to make sense of it and put it into context. This allows us to make decisions. I go outside in the morning and look at my car, an intricate and complex network of metal parts and functions, but I simply process it as a thing called "car" and drive off to my job. Easy, right? But for whatever reason, investors tend to complexify a concept. In my own case, I am convinced following the process I've described allows me to get closest to the reality of what's in front of me, and the realities of intrinsic values and margins of safety are critical in investing. For example, I ask myself, what business is the company really in? What are the key drivers that will determine its success?

I'm now in a unique position of serving in two roles: as both the CEO of GEICO, and in my responsibility investing a substantial portfolio pool of capital at Berkshire Hathaway. Each of these roles impacts the other. My CEO role makes me more aware of the key challenges facing a CEO, the constant balancing act between short-term exigencies and long-term imperatives. As a CEO, I'm intensely aware of the dangerous oversimplification inherent in a spreadsheet.